China's shadow hurting trans-Pacific free trade

Exclusive

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Taiwan's de facto ambassador in Canberra is pleading with Australia to use its leadership of the trans-Pacific free trade pact to break an impasse over its application to join the agreements, which remains in limbo because members are loath to provoke a confrontation with China.

The Central American nation of Costa Rica – which had a population of just 5.2 million people and gross domestic product of $US86.5 billion in 2023 – has been plucked from obscurity to have its membership bid for the Comprehensive and Progressive Agreement for Trans-Pacific Partnership considered.

Costa Rica has leapfrogged the much larger economies of China and Taiwan, which had applied to join the 12-member pact in September 2021. The Chinese economy was worth $US17.8 trillion and Taiwan's $US756 billion respectively in 2023.

The CPTPP's 11 foundation members have long put off considering the applications of China and Taiwan, citing a desire to first bed down Britain's accession. The UK became a full member last year.

However, members have been divided over Beijing's bid, with Japan in the past mostly strongly opposed to its near neighbour and major strategic rival joining. Others, such as Singapore, Vietnam and Malaysia, are more keen to incorporate China because of the size of its market.

At the peak of Beijing's campaign of sanctions against Australian exports, Canberra signalled China's application could not be considered until it adhered to World Trade Organisation rules.

Taiwan's membership bid has also been hostage to these geopolitical power plays. Beijing considers Taiwan a rogue province and objects to its participation in international bodies.

But the Taipei Economic and Cultural Office's representative Douglas Hsu – effectively Taiwan's ambassador to Australia – said Taiwan's case to join should be determined on economic merits.

"Our argument is quite simple," he told *The Australian Financial Review*. "The CPTPP is basically a trade mechanism, and we understand that there may be some existing CPTPP members and they will consider some other geopolitical factors, which means that China may give them some pressure to push back Taiwan's application or to postpone the decision-making process.

"Should some of the existing CPTPP members yield to that external interference … especially from a country that hasn't become a CPTPP member … that is unhealthy."

With Canberra taking over as chair of the CPTPP this year, Mr Hsu urged the Albanese government to put Taiwan's membership on the agenda, adding Taiwan had no objections to China becoming a member as well.

"All we ask is something that fits the Australian people's values system," he said. "We want to have a fair chance to participate. We want to have a fair chance to contribute. But still I think it is difficult for us to make our voice heard."

Taiwan is the sixth-biggest destination for Australian exports, but no free trade agreement between the two economies exists.

Mr Hsu's plea coincides with a period of greater uncertainty over world trade as US President Donald Trump wields the threat of tariffs to achieve economic and political ends.

Asked about Mr Hsu's request, a Department of Foreign Affairs and Trade spokeswoman said membership decisions were by consensus among the 12 CPTPP members, and Australia's position had been consistent.

"Any economy seeking to join CPTPP must meet the agreement's high standards, have a record of complying with international trade commitments, and gain consensus support from CPTPP members. We do not comment on the merits of individual applications."

Since Labor came to power in 2022, it has pursued a policy of stabilising relations with China. While trade flows and ministerial dialogue have been restored, some critics argue stabilisation means Australia is no longer as willing to speak out publicly against the Asian nation.

Trump has 500 million reasons to back AUKUS

Analysis



Andrew Tillett

Critics of AUKUS who argue Donald Trump would kill off the deal to help Australia acquire nuclear-powered submarines should end their naysaying now.

Of course they won't, but Defence Minister Richard Marles' dash to Washington DC to meet his new US counterpart, Pete Hegseth, paid a powerful dividend in ensuring the Trump administration was locked in behind AUKUS.

"The president is very aware, supportive of AUKUS, recognises the importance of the defence industrial base, which the deputy prime minister [Marles] pointed out the investment Australia is willing to make," Hegseth said in response to a journalist's question at the top of his pow-wow with Marles.

"This is not a mission, in the Indo-Pacific, that America can undertake by itself. It has to be robust allies and partners. Technology sharing and subs are a huge part of it."

The rejoinder to that is, "Well he would say that", especially as Marles came armed with a $US500 million ($797 million) downpayment for US submarine manufacturers to boost production so that boats could be transferred to Australia.

But Hegseth's declaration is the strongest sign yet from the White House about its backing for AUKUS.

While Secretary of State Marco Rubio also offered support in Senate confirmation hearings, Rubio hails from the dwindling band of mainstream Republicans.

Hegseth speaks with the authority of someone firmly ensconced in the Trumpian "America First" wing of the Republicans. This is usually taken as code for isolationism, but many in Trump's orbit advocate for the need to be tough on Beijing.

On the same day he met Marles, Hegseth told a town hall meeting at the Pentagon the US would be firm against China's so-called grey zone activities. Grey zone refers to acts that stop short of war and include matters such as cyberattacks or clashes between ships in disputed waters.

"Certainly, we want to send the signals to China that that area will be and continues to be contested," Hegseth said.



Defence Minister Minister Richard Marles at the Pentagon with his US counterpart Pete Hegseth last week. PHOTO: FACEBOOK

"We're clear-eyed about the communist Chinese … but we're also not attempting to initiate conflict or create conflict where it otherwise doesn't need to exist. We're going to stand strong with our partners."

Yes, Trump is incredibly volatile and unpredictable, and no one can say with 100 per cent certainty he will definitely not tear up AUKUS. But Canberra would be assured by the noises coming from his team so far.

Is there a chance Australia has to bump up what it is paying the US? That cannot be discounted.

But any increase will be more due to defence economics and industrial reality than Trump trying to shake down the rubes from Down Under.

Under the AUKUS deal, Australia is on the hook to transfer $US4 billion ($6.4 billion) for the US submarine industrial base to lift production rates of Virginia class submarines from an average of 1.2 to 1.4 boats a year to 2.33 boats.

The initial $US500 million is not tied to a specific outcome – for example employing 200 workers or buying a new piece of equipment – but will be available generally for training and industry development, boosting the workforce and shipyard investments.

(In comparison, the £2.4 billion [$4.75 billion] being paid to Britain covers Australia's contribution to designing the SSN AUKUS submarine that will be built in Adelaide, as well as boost production at Rolls-Royce's UK factory for the nuclear reactors that will go into the boats.)

We're clear-eyed about the communist Chinese … but we're also not attempting to initiate conflict.
Pete Hegseth, US Defence Secretary

The goal of 2.33 boats a year will allow the US to replace its ageing submarines and free up boats to transfer to Australia (at the same time, US shipyards are meant to be churning out one of the larger nuclear-armed, nuclear-powered submarines each year).

Lifting production to meet these targets is a massive task. This is where AUKUS remains at greatest risk of collapsing, not the whims of Trump.

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